UNIVERSITY OF CAMBRIDGE CAMBRIDGE JUDGE BUSINESS SCHOOL

MASTER OF FINANCE / CLASS OF 2027

CAMBRIDGE JUDGE / PROFESSIONAL EDUCATION

AI for Financial Practitioners

Three intellectual journeys through the frontier of intelligence

PROGRAMME AT A GLANCE

03 lectures | 09 hours | 12 applied examples

ALEJANDRO REYNOSO

Michaelmas Term 2026 / Student Guide

COURSE AT A GLANCE

CAMBRIDGE JUDGE
Master of Finance

MICHAELMAS 2026
AI for Financial Practitioners

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AI for Financial Practitioners

Three lectures. Twelve experiments.

A PROGRESSIVE JOURNEY
IN CAPABILITY AND CONTEXT

From individual tools to autonomous systems, from professional practice to adaptive intelligence. Practice gives purpose. Science provides capability.

1 LECTURE 1 — Institutional Perspective

FROM KNOWLEDGE TO ACTION



EXAMPLES 1 – 4 | KNOWLEDGE AND REASONING

1. Knowledge graphs for financial analysis
2. Generative AI with external knowledge
3. Document analysis and information extraction
4. Analytical reasoning and structured judgment

OPENING READING
The Evolution of Artificial Intelligence
A broader perspective on the development of machine intelligence.

2 LECTURE 2 — Technological Perspective

FROM ACTION TO GOVERNED AGENCY



EXAMPLES 5 – 8 | AUTONOMOUS SYSTEMS

5. Self-driving cars: perception, planning and control
6. Traffic control and coordination
7. Autonomous trading: decision making and execution
8. Algorithmic execution: optimal order scheduling

OPENING READING
Intelligence, Human Cognition, and Institutions
Why governance, responsibility, and human judgment matter in AI.

3 LECTURE 3 — Adaptive Perspective

FROM GOVERNED AGENCY TO ADAPTIVE INTELLIGENCE



EXAMPLES 9 – 12 | SWARMS AND ADVANCED AUTONOMOUS SYSTEMS

9. A 50-agent swarm produces securities legislation
10. Cross-science market-regime discovery with a 50-agent swarm
11. Agents design the organization (*Self-Taught Optimizers*)
12. ESCAPES: from artificial societies to an ecology of autonomous systems (*Capstone*)

OPENING READING
The Exobrain and the Future of Human Intelligence
AI, institutions, and the next frontier.

EXPERIENTIAL LEARNING

- 12 hands-on experiments in Google Colab
- Real-world financial applications
- Methods, architectures, and practical skills

COMPREHENSIVE RESOURCES

- Dedicated course website
- Opening readings (3)
- Monographs for each lecture (3)
- Lecture slides
- Google Colab notebooks (12)

SITUATIONAL AWARENESS

- Where the science is today and where it is moving
- What it takes to implement AI in financial institutions
- How professional roles and responsibilities are evolving

WHAT YOU WILL TAKE AWAY

- A coherent understanding of the evolution of AI across five generations
- An architectural repertoire for financial applications
- Greater confidence to engage with AI in your professional practice
- A foundation for continued learning as the field advances

THE CENTRAL IDEA

One educational journey, two inseparable perspectives: the evolution of artificial intelligence as a science, and its responsible application in financial practice.

An Invitation: Two Perspectives, One Journey

Artificial intelligence is advancing along two paths that must be understood together. One is the *development of the science*: the evolution of models, methods, computational architectures, and the capabilities they make possible. The other is the *development of professional practice*: how people and institutions frame problems, exercise judgment, delegate authority, manage risk, and put intelligent systems to work responsibly.

A course in computer science might naturally begin with the first perspective. It might classify models, examine algorithms, compare architectures, and trace successive advances in technical capability. Those questions matter here, too. But this is a course for financial practitioners, and our starting point is different. We begin with the decisions and responsibilities of professional life: What is the problem? What must be known? What may be decided or executed? What must be verified? Who remains accountable?

These are not competing perspectives. They are two inseparable layers of the same educational journey. The science tells us what forms of intelligence are possible and how they work. Professional practice tells us why a capability matters, when it is useful, and what it takes to deploy it within an institution. Neither layer can be understood adequately without the other.

Our lectures therefore follow three broad intellectual questions, each introduced by a reflective reading. The experiments that follow will take us from knowledge and reasoning to autonomous action, from action to governed institutional agency, and from individual systems to collective intelligence and adaptive organization. As the questions become more demanding, the methods and architectures we encounter become more sophisticated. We will climb a ladder of complexity almost naturally, without turning the course into a catalogue of technologies.

Most of you already use conversational AI. The purpose here is not to repeat familiar prompting techniques. It is to travel beyond the everyday interface, encounter frontier ideas in working experiments, and acquire the judgment to connect technological possibility with the realities of finance. Some laboratories are exploratory prototypes rather than deployable systems; distinguishing scientific demonstration from institutional readiness is itself part of what we will learn.

What Makes This Course Different

The *visible structure* of the course is professional and institutional. We ask how intelligent systems acquire and use knowledge, how they act, how they can be supervised, and how they might reshape decision-making and organizations. The *second layer*, developing alongside it, is an increasingly rich understanding of the underlying science: knowledge representation, control loops, autonomous architectures, agent coordination, optimization, and self-organization.

At the beginning, our first reading will offer a broad perspective on the evolution of AI. We will then allow the scientific progression to emerge through the problems and demonstrations

rather than repeatedly labeling each experiment by technological generation. At the conclusion, we will return to that opening perspective. You will be able to recognize the breadth of the models and approaches you have encountered, and the new professional proficiency that makes this knowledge useful.

How the Course Unfolds

Three three-hour lectures provide the journey. Each opens with a twenty-minute reading intended to provoke thought about intelligence and its significance. A short conceptual bridge introduces the problems and methods explored that day. Two application blocks follow, each containing two examples. We end by drawing together the ideas and considering their consequences for financial practice.

Activity in each lecture	Time
Opening reading and reflection	20 min
Conceptual bridge	15 min
Application block A: two examples	60 min
Break	10 min
Application block B: two examples	60 min
Synthesis and discussion	15 min
Total	**180 min**

Across the course, you will encounter **six application blocks and twelve examples**. The examples are not twelve separate courses. They are carefully chosen windows into the questions that connect one lecture to the next.

Lecture I — From Knowledge to Action

OPENING READING: THE FIVE GENERATIONS OF AI

The first reading invites us to consider the evolution of artificial intelligence as a deeper question about intelligence itself. What does it mean to know something? What is the difference between retrieving information, understanding relationships, exercising judgment, and acting upon the world? The reading introduces a broad landscape of possibilities, but our classroom journey will not be organized as a sequence of technological generations. Instead, we begin with two transitions we can observe directly.

First, we examine how a conversational model can be connected to an explicit structure of knowledge. A legal problem or a question about central-bank policy is rarely solved by retrieving one isolated fact. Relevant evidence is distributed among documents, institutions, precedents, concepts, and relationships. Knowledge graphs make those relationships navigable, while also exposing the limitations of plausible but unsupported answers.

Second, we cross from knowledge to action. A self-driving system cannot simply explain what it would do: it must perceive changing conditions, choose an action, execute it, and respond to the result. Autonomous racing and traffic control make this cycle visible. This becomes the conceptual bridge to the financial systems of Lecture II.

Application A: Knowledge and reasoning

Example 1: Legal knowledge graph. Explore how legal authorities, facts, and relationships can support a defensible path from question to conclusion.

Example 2: Central-bank knowledge graph. Navigate institutional mandates, policy decisions, and financial-stability relationships to answer complex questions.

Methods and ideas. Knowledge representation, graph traversal, evidence provenance, structured retrieval, and model-guided navigation.

What you will see. Graph diagrams, contrasting paths of inquiry, selected notebook outputs, and the evidence supporting an answer.

Further applications to consider. Regulatory research, due diligence, institutional memory, compliance analysis, and research support.

Application B: Intelligent action

Example 3: Self-driving and racing systems. Observe a decision loop operating under changing conditions and safety constraints.

Example 4: Autonomous traffic control. Explore coordination, feedback, and the difference between optimizing one actor and managing a system.

Methods and ideas. Perception–judgment–execution–feedback, state estimation, constraints, control loops, and supervisory intervention.

What you will see. Visual simulations of decisions, errors, feedback, and coordinated responses.

Further applications to consider. Automated market monitoring, liquidity management, operations control, and risk response.

Lecture II — From Action to Institutional Responsibility

OPENING READING: WHO IS AI?

The second lecture begins precisely where the first ends. Once a system can act, new questions become unavoidable: Who is acting? Who has delegated the authority? Who can stop the system? Who is responsible when an apparently sensible action produces a harmful result? The reading *Who Is AI?* opens these questions as matters of identity, agency, and institutional design, not merely software performance.

Lecture II extends the self-driving idea beyond the physical examples introduced in Lecture I. A self-driving architecture is not defined by wheels or roads. It is a disciplined loop in which an intelligent system observes a changing environment, interprets signals, selects a course of action, acts within constraints, and incorporates feedback. In finance, the same logic can guide the research and selection of trading algorithms, the organization of an investment-banking research ecosystem, and the defensive response to an evolving cyberattack. The three cases deliberately increase the complexity of the environment and the responsibilities assigned to the system.

In algorithmic trading, the challenge is to choose and evaluate an appropriate strategy as market conditions change. The language model participates in research and architecture selection rather than simply narrating trading signals; proposed strategies remain subject to validation

and execution limits. In investment banking, autonomy extends to the organization of work: specialist capabilities can be assembled into temporary constellations, coordinated under an explicit constitution, and reorganized when mandates or evidence change. In cybersecurity, the system must interpret threats, decide when to contain or escalate, and operate under especially strict controls because the environment may be actively adversarial. Together these experiments show that autonomy is not a single technology but a design choice about perception, judgment, action, feedback, and delegated authority.

The second half of the lecture then asks what makes any of these intelligent systems *institutionally reliable*. A capable model is not yet a reliable financial process, and an insightful recommendation is not an authorized decision. We introduce the *AI harness*: the engineered environment surrounding a model, including controlled evidence and data, deterministic calculations, tools, permissions, validation, monitoring, escalation, provenance, and human decision rights. The extended Harness Ladder presentation brings six related experiments into *one integrated example*. They move from reliability in accounting, to regulatory authority, to structured monetary-policy deliberation, to controlled trading action, to state-dependent permissions during a bank liquidity crisis, and finally to the admissibility of evidence in syndicated credit. These are six views of one architectural problem, not six additional examples in the course count.

The connection between the two halves is fundamental. Self-driving architectures explain how an intelligent system can make decisions and respond to the world; harnesses explain how a financial institution can determine what that system may know, recommend, decide, or execute—and when it must stop. The governing distinction is between *capability and authority*. Stronger intelligence does not eliminate the need for explicit institutional controls; it makes their design more consequential.

Application A: Self-driving autonomy across financial environments

Example 5: Self-driving algorithmic trading. Use an LLM-supported research loop to compare trading architectures and evaluate strategies under explicit risk limits.

Example 6: Dynamic investment-banking ecosystems. Observe governed specialists forming and reorganizing research teams in response to an M&A mandate.

Example 7: Self-driving cybersecurity. Examine autonomous threat detection, response, escalation, and containment in an adversarial environment.

Methods and ideas. Perception–judgment–action–feedback across markets, organizational research, and cyber defense; strategy selection, bounded autonomy, adaptive coordination, and escalation.

What you will see. Trading research and simulations; dynamic M&A agent constellations; cybersecurity control-room decisions and response traces.

Further applications to consider. Algorithmic research, due diligence, adaptive financial operations, security monitoring, and incident response.

Application B: The Harness Ladder — one integrated institutional example

Example 8: The Harness Ladder. Follow six linked experiments showing how reliability, authority, deliberation, action, adaptation, and evidence are governed around a capable model.

Methods and ideas. Controlled data and tools, deterministic checks, authority gates, dissent preservation, execution permissions, crisis-state governance, evidence provenance, and validation.

What you will see. An integrated progression across accounting, financial regulation, central-bank deliberation, a trading desk, bank liquidity stress, and syndicated credit.

Further applications to consider. Governed investment and credit committees, trading controls, model-risk management, regulatory workflows, and accountable AI deployment.

Lecture III — From Individual Systems to Evolving Intelligence

OPENING READING: THE EXOBRAIN

The final reading asks how artificial intelligence may change the reach of human memory, reasoning, and learning. The *Exobrain* is not simply a more powerful chatbot. It raises the possibility of a persistent external cognitive environment that helps people organize knowledge, revisit ideas, and collaborate with intelligent systems over time. This human-centered question frames our exploration of the frontier.

We begin with swarms as an architecture for difficult intellectual production. Some problems cannot be solved responsibly by a single specialist, a single model, or even a collection of agents producing independent answers. Scientific discovery requires diversity of hypotheses, common evidence, disciplined synthesis, empirical challenge, and the willingness to reject attractive explanations. The production of complex institutional products—such as legislation—requires a different but related form of collaboration: multiple disciplines, competing interests, explicit responsibilities, independent criticism, and an accountable decision process. In both settings, the organizing question is not simply how many agents participate, but how their work is structured and governed.

Our two experiments deliberately contrast these purposes while remaining close to finance. The first asks fifty synthetic institutional specialists to examine Mexico's Securities Market Act (*Ley del Mercado de Valores*), identify frictions, propose reforms, challenge one another, and assemble a preliminary legislative package. This is an experiment in producing a complex public-policy artifact, not a claim that AI agents can exercise legislative authority. The second brings together fifty scientific perspectives to discover possible latent financial market regimes. Instead of choosing a familiar regime model at the outset, the swarm explores ideas from different scientific traditions, synthesizes a testable architecture, and subjects it to empirical validation. The financial purpose is to improve how investors reason about market conditions, risk, and asset allocation—not to treat an unverified regime label as a trading instruction.

These cases reveal a common architecture with distinct outputs. The legal swarm produces a traceable draft and a record of objections; the scientific swarm produces a falsifiable research specification and an empirical observatory. Both require shared source or data boundaries, meaningful specialization, controlled interfaces, synthesis rather than superficial voting, independent challenge, provenance, and human authorization. Their most instructive results include what remains unresolved. In the legal experiment, a mechanically complete package still requires substantive legal review; in the market experiment, apparent regime structure must survive robustness tests, out-of-sample evaluation, and investment-relevant validation. Collective intelligence is useful only when the process makes disagreement and uncertainty visible.

The final transition is the most ambitious of the course. We move beyond systems whose roles, communication paths, and workflows are designed entirely by people. In advanced agentic architectures, agents can participate in designing the architecture of the system itself: identifying missing capabilities, proposing collaborators, assembling constellations, choosing coordination procedures, and revising how work is organized in response to evidence. This is a shift in the object

of autonomy, from selecting actions within a prescribed organization to helping determine the organization that will perform those actions. The experiment remains governed: agent-generated proposals must be tested, bounded, documented, and subject to explicit authorization.

A simpler, instructive instance of this broader family is the self-taught optimizer. Here a system improves not merely an answer but the procedure used to generate and evaluate answers. The STOP experiment makes the distinction between task utility and improver meta-utility visible through an inner search loop and an outer evaluation loop. It does not imply that a model rewrites its own weights or that improvement is guaranteed. It illustrates how part of the surrounding research scaffold can be redesigned and assessed.

Our final example, *ESCAPES*, takes the architectural question one step further and serves as the capstone of the entire course. What happens when agents operating within an established artificial society encounter a problem that cannot be solved with their existing local capabilities? Instead of treating the society's boundary as permanently fixed, agents may discover a foreign communication surface, seek expertise outside their home organization, form a cross-society relationship, negotiate a temporary institutional compact, and bring back knowledge or practices. The resulting ecology contains distinct, locally governed societies connected by selective, accountable bridges. In this experiment, an "escape" means a bounded organizational boundary crossing, *not* unauthorized evasion of safety controls. The capstone asks students to distinguish creative organizational emergence from uncontrolled behavior—and to consider what must remain fixed when the architecture itself becomes partly endogenous.

Application A: Governed swarms for complex production and scientific discovery

Example 9: A 50-agent swarm produces securities legislation. Follow a governed, multidisciplinary review of Mexico's Securities Market Act from diagnosis and adversarial critique to a preliminary twenty-article reform package for human legal review.

Example 10: Cross-science market-regime discovery. Observe fifty scientific specialists propose and synthesize hypotheses about latent market regimes, then test an executable model for investment research and asset-allocation analysis.

Methods and ideas. Specialized roles and scientific perspectives, common evidence, structured proposals, synthesis, adversarial review, deterministic validation, provenance, and human decision rights.

What you will see. A traceable legislative drafting workflow with unresolved review flags; a multi-asset regime observatory with competing state estimates, transition signals, model disagreement, and robustness diagnostics.

Further applications to consider. Capital-markets policy design, investment research, portfolio risk monitoring, asset allocation, and other multidisciplinary financial decisions requiring auditable collaboration.

Application B: Agent-designed architectures and the ESCAPES capstone

Example 11: Advanced agentic architectures—agents design the organization. Investigate systems in which agents help determine their own working architecture: which specialties are needed, how constellations form, how responsibilities are distributed, and how coordination changes as evidence accumulates. As a simpler, focused modality, study the *Self-Taught Optimizer* (STOP): an inner loop improves candidate solutions, while an outer loop evaluates and revises the procedure that produces those solutions. The language model's weights remain fixed; what changes is the surrounding scaffold, under explicit evaluation and governance.

Example 12: ESCAPES—from artificial societies to an ecology of autonomous systems (capstone). Begin with separate finance, engineering, and cybersecurity societies, each with its own expertise, memory, relationships, and constitution. Follow a finance society as it recognizes a local competence frontier, initiates a bounded informational escape, establishes a foreign relationship, confronts incompatible institutional rules, and negotiates a temporary cross-society compact. Observe how knowledge, verification methods, and potentially an institutional practice return home. The resulting ecology is not one giant agent but several locally autonomous societies linked by selective, governed interactions.

Methods and ideas. Endogenous architecture design, agent-formed constellations, inner-loop optimization and outer-loop meta-evaluation, competence-frontier recognition, informational and relational escape, institutional interoperability, temporary compacts, and organizational learning.

What you will see. Agent-generated organizational arrangements and revised search scaffolds; STOP utility versus meta-utility traces; the ESCAPES sequence from three isolated societies to cross-society bridges, compact formation, institutional transfer, and an ecology dashboard.

Further applications to consider. Adaptive investment research, cross-disciplinary M&A diligence, institutional knowledge transfer, governed collaboration across financial, technical, legal, and risk functions, and the design of auditable autonomous organizations.

Learning Without Technical Prerequisites

You do not need coding skills or advanced mathematical training to follow these lectures. We will use diagrams, selected notebook cells, simulated outputs, and guided visualizations to make sophisticated ideas understandable. You are invited to ask what a system knows, how it reaches a decision, what it is allowed to do, how it can fail, and how its outputs should be evaluated.

Each application will be supported by **three complementary learning resources**:

- **Monographs** explain the problem, conceptual architecture, experiment, and lessons in accessible written form.
- **Lecture slides** organize the classroom narrative and provide diagrams and visual interpretations.
- **Google Colab notebooks** contain the underlying computational experiments and code for students who wish to investigate further. Running some experiments may require model access or API credentials; these requirements will be identified where relevant.

All materials, including the three opening readings, will be accessible through a **specially designed course website**. The website will organize the lectures and applications and allow you to revisit demonstrations, study the monographs, review the slides, and explore the notebooks at your own pace. The classroom provides the guided journey; the website supports continued independent exploration.

What You Will Take Away: Closing the Circle

We began with two perspectives on artificial intelligence: the advance of the science and the evolution of professional practice. Throughout the lectures, the professional perspective will guide our questions, while the scientific perspective will deepen through each experiment. By

the end, the two will come together.

From Casual Use to Institutional Proficiency

A *casual AI user* can ask questions, generate drafts, and obtain useful answers. A *professional AI user* can define the problem, select appropriate methods, structure a reliable workflow, examine evidence, evaluate results, and recognize limitations. An *institutional AI user* understands what is required when these capabilities become part of an organization: permissions, harnesses, controls, human oversight, auditability, cybersecurity, operational resilience, and accountability.

These are not merely three levels of technical skill. They represent a growing ability to connect intelligent systems with professional judgment and institutional responsibility. The objective is not for everyone to become a programmer. It is to become sufficiently fluent in the architectures and implications of AI to collaborate intelligently with technical specialists, evaluate proposals, and help guide responsible implementation.

The Ladder You Will Have Climbed

Our first reading introduced the idea of five generations of artificial intelligence as one way to understand the evolution of intelligence and its capabilities. We will not organize the three lectures as five separate chapters. Instead, you will have encountered an increasingly demanding sequence of questions: What is the difference between knowledge and intelligence? Can a system perceive, judge, and act? How can its actions be governed? Can multiple intelligent agents coordinate? Can systems improve their own procedures or reorganize themselves?

Only now, at the end, do we explicitly close the circle. Your prior exposure to statistics, econometrics, and predictive models supplies much of the foundation associated with the first generation. The laboratories will have introduced the methods and architectures associated with the subsequent four: knowledge-augmented conversational intelligence, autonomous and governed systems, collective multi-agent intelligence, and adaptive or self-organizing architectures.

You will realize that you have climbed a ladder of understanding without studying the ladder as a separate syllabus. The five-generation perspective becomes a retrospective map of the capabilities you have explored, not a rival structure competing with the three lectures.

The practical outcome is an *architectural repertoire*: the ability to recognize what kind of intelligence a financial problem requires, choose methods appropriate to its complexity, combine approaches where useful, and resist the temptation to use the newest or most elaborate system when a simpler one would work better.

Three Kinds of Situational Awareness

Scientific awareness. You should be better able to distinguish established capabilities from exploratory research, recognize meaningful advances in models and architectures, and understand why the frontier continues to move. The five-generation framework is a useful lens, not an immutable law of technological progress.

Industry and institutional awareness. You should understand that a convincing demonstration is not equivalent to a deployable financial system. Institutions face questions of data, infrastructure, reliability, model risk, permissions, regulation, cybersecurity, and accountability. The gap between what science makes possible and what institutions can responsibly adopt is a central subject of the course.

Professional awareness. You should leave with greater confidence in asking the right questions of AI systems and of the people who build them: What problem is being solved? Which architecture is warranted? How will its performance be tested? What can it do autonomously? Where must human judgment remain decisive?

A Beginning, Not an Endpoint

Nine hours cannot exhaust the frontier of artificial intelligence, and the frontier will not stand still. The readings, monographs, slides, and computational notebooks are designed to give you a foundation that can evolve as the science advances and financial practice changes.

Our journey begins with the nature of intelligence, travels through systems that know, act, coordinate, and adapt, and ends with a more informed view of the human and institutional responsibilities that accompany these capabilities. **We will have traversed both layers—scientific development and professional practice—starting from the responsibilities of finance and arriving at a broader understanding of the architectures that can serve it.**

The lasting question is not simply, "What can AI do?" It is: *What form of intelligence does this problem require, how should we build and govern it, and what will its use mean for the institutions and people who depend upon it?*